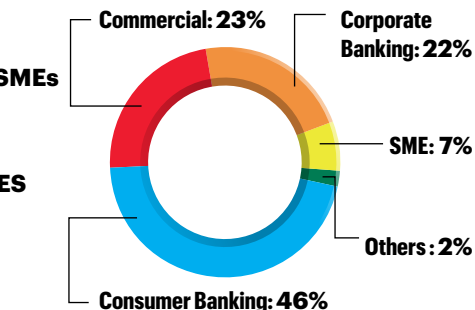


THE BUSINESS MIX

► THE LENDER IS BETTING BIG ON MID-MARKET OR SMEs

► ITS CONSUMER BANKING FRANCHISE SERVES FAST-EMERGING SEGMENTS LIKE CONSUMER DURABLES

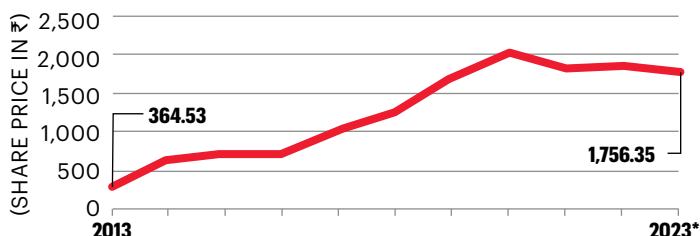


SOURCE: ANNUAL REPORTS/PRESENTATIONS

MARKET MOOD

► INVESTORS ARE NERVOUS ABOUT UDAY KOTAK'S EXIT AFTER TWO DECADES AS MD AND CEO

► WITH SOME CHALLENGES TO DEAL WITH, THE NEW LEADER COULD TAKE TIME TO SETTLE DOWN



SHARE PRICE AT THE END OF THE YEAR; *DATA AS ON SEPTEMBER 21; SOURCE: ACE EQUITY

CHALLENGES FOR THE NEW TEAM



The exit of three stalwarts—Uday Kotak, Dipak Gupta and Gaurang Shah



The new MD and CEO and non-banker recruits may take time to adjust



Some exits are likely to happen because of post-succession pangs



Competition is hotting up in the BFSI space with Jio Financial's entry



Technology is changing fast; fintechs also disrupting the space



With consolidation, large public sector banks will give competition

together. Recent succession exercises at large private lenders have seen senior executives jumping ship. But Tej Shah, Portfolio Manager at Marcellus Investment Managers, says succession at KMB is a different ball game. "Kotak, as promoter, still holds a substantial stake in the bank. He still continues as a board member." KMB is a part of the Marcellus portfolio.

Experts believe all future major decisions made by the board with Kotak as a member will reflect his expertise and experience. "A conservative bank doesn't go down if the CEO leaves," says a banking analyst. The new CEO will also have to have the right equation with the Founder. Plus, Kotak's son Jay joined the bank seven years ago. Jay Kotak, Vice President and Co-head of digital bank Kotak811, is expected to follow the normal career path.

Kotak has put in place some good practices that will stand KMB in good stead. For instance, a 12-member Group Management Council meets at 9:30 am every Monday to brainstorm risks, new opportunities, regulatory framework, global developments, innovations, etc.

"This speeds up decision-making as there are many synergies between the group companies and the bank," says a member. Kotak allowed an entrepreneurial culture by allowing professionals to run businesses independently. The group also follows a very conservative approach to doing business, with no asset quality deterioration. With the new recruits readying to take charge, Lathia says that KMB's value system impressed him the most.

As a professional, Nagnur has seen many leadership transitions. When he began his tenure at JP Morgan Chase in 2001, William Harrison was at the helm as Chairman and CEO. A few years later, a merger with Bank One was announced. Despite JP Morgan Chase being 10x larger than Bank One, James Dimon, the CEO of Bank One, took over as Chairman and CEO of the combined entity, and continues till this day. "Change is a constant in life. Transitions are an inevitable part of the journey," says Nagnur. Uday Kotak couldn't agree more. **BT**

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